

Bank account in minus?

That fine may not be legal.

The full RBI rules behind my negative balance video, plus the exact email and complaint steps to get it fixed.

You commented "PDF", so here it is. The video showed that a bank cannot push your savings account below zero just by adding minimum balance fines. This guide shows you the actual RBI rule, a ready email to send your bank, and how to take it to the RBI Ombudsman if they ignore you.

- 1 Zero is the floor for fines.** RBI says minimum balance charges alone must never turn a savings account negative.
- 2 Dormant accounts get extra cover.** Since April 2024, banks cannot charge minimum balance fines on inoperative accounts at all.
- 3 Bank first, then RBI.** Write to your bank. No reply in 30 days, or a bad reply? Complain free at cms.rbi.org.in.

FINE FLOOR

₹0

BANK GETS

30 days

THEN ESCALATE

90 days

FEE TO COMPLAIN

₹0

The claims, *checked against the rules*

I went back to the actual RBI circulars for every line in the reel. Most of it holds. One part needs a small correction.

1 Claim by claim

WHAT THE VIDEO SAID	CHECK	WHAT THE RULE ACTUALLY SAYS
Fines for minimum balance can make your account negative, and banks have no right to do that.	TRUE	RBI rules since 2015, now part of RBI's 2025 Responsible Business Conduct Directions, say banks must ensure the savings balance does not turn negative because of minimum balance charges.
Accounts unused for a long time also get fined into minus.	TRUE, AND STRONGER	From 1 April 2024, banks cannot charge minimum balance fines at all on accounts classified as inoperative (no transaction done by you for over 2 years).
Send the bank a mail with your name and account number asking them to fix it.	TRUE	A written complaint to the bank is the required first step before RBI will take up your case.
The bank must bring it back to zero within 30 days.	PARTLY	There is no RBI rule saying "reverse within 30 days". The 30 days is how long the bank gets to reply before you can go to the Ombudsman.
If not, complain at cms.rbi.org.in.	TRUE	That is RBI's official complaint portal. It is free, and you can file without a lawyer.

THE ONE THING TO NOTICE

The rule protects you only from minimum balance fines. If the minus came from something else, like a loan EMI or a cheque bounce charge, ask the bank to explain each debit first.

ABOUT THE 30 DAYS IN THE VIDEO

I said the bank has to make it zero within 30 days. To be precise: the bank has 30 days to respond to your complaint. If they don't respond, or don't fix it, that is when RBI steps in. In practice, most banks reverse wrong charges once you write to them with the circular, so the 30 days often ends with a fix anyway.

A small fine, *every single month*

Nobody notices ₹354. That is the problem. It keeps getting added while you are not looking at that account.

2 An example of how it adds up

Say you have an old salary account with ₹0 in it. The bank charges a ₹300 monthly fine for not keeping the minimum balance, plus 18% GST. Here is what the statement could look like if the bank keeps debiting it anyway.

MONTHS UNUSED	FINE + GST PER MONTH	BALANCE SHOWN
1 month	₹354	-₹354
6 months	₹354	-₹2,124
1 year	₹354	-₹4,248
2 years	₹354	-₹8,496

Illustration only. ₹300 fine + ₹54 GST (18%) = ₹354 a month. Real fines vary by bank, by branch type and by how far below the minimum you are.

3 Why this is a problem for you

- 1 Your next deposit disappears.** The day you put money in, the bank recovers the "dues" first.
- 2 Closing the account gets stuck.** Branches may ask you to clear the minus before closing.
- 3 Recovery calls and letters.** Some people get notices for an amount they never borrowed.

THIS TOOK ME A WHILE TO GET

A minus balance from fines is not a loan. You never borrowed that money, so under RBI's rule it should never have been shown as owed in the first place.

What banks *can and cannot do*

Two sets of RBI rules cover this. Quoting them in your email makes a big difference.

4 Minimum balance charges (in force since 1 April 2015)

RULE	WHAT IT MEANS FOR YOU
Tell the customer first	The bank must clearly alert you by SMS, email or letter when your balance falls short.
One month to fix it	Fines can apply only if you don't restore the balance within a month of that notice.
Fine must be proportionate	The charge should be in proportion to how far short you are, usually through slabs.
No negative balance	The bank must ensure the savings balance does not turn negative because of these charges.

First issued in RBI circular DBR.Dir.BC.No.47/13.03.00/2014-15 (20 Nov 2014). On 28 Nov 2025 RBI moved it into the Reserve Bank of India (Commercial Banks – Responsible Business Conduct) Directions, 2025. Regional rural banks have the same rule.

5 Inoperative accounts (in force since 1 April 2024)

An account becomes **inoperative** when you have made no transaction yourself for over two years. For these accounts, RBI says banks **cannot charge minimum balance fines** and **cannot charge to reactivate** them. Interest must still be credited. Scholarship and government benefit (DBT) accounts are kept separate so they are not marked inoperative just for being unused. This applies to commercial banks, regional rural banks and co-operative banks.

THE BANK CAN	THE BANK CANNOT
- Set its own minimum balance amount - Charge a fair fine after giving notice - Recover that fine from money in the account - Ask for KYC to reactivate a dormant account	- Push the balance below zero with these fines - Fine an inoperative account for low balance - Charge a fee to reactivate it - Fine you without telling you first

The email that *gets it reversed*

Keep it short and factual. Name the RBI rule, say what you want, and keep a copy.

6 What to keep ready

- | | |
|--|--|
| ☐ Your full name as in the bank records | ☐ Statement showing the fine debits |
| ☐ Account number and branch name | ☐ Screenshot of the negative balance |
| ☐ Registered mobile number | ☐ Copy of PAN or Aadhaar, only if asked |

7 A template you can copy

To: your bank's customer care or grievance email (on the bank's website, under "Grievance Redressal")

Subject: Reversal of minimum balance charges causing negative balance, A/c **XXXX1234**

Dear Sir/Madam,

My savings account **[account number]** at your **[branch]** branch is showing a negative balance of ₹**[amount]**. This is due only to charges for non-maintenance of minimum balance.

As per RBI's instructions on penal charges for non-maintenance of minimum balance (first issued on 20 November 2014 and now part of the Reserve Bank of India (Commercial Banks – Responsible Business Conduct) Directions, 2025), banks must ensure that a savings account does not turn negative because of these charges. **[If unused for 2+ years, add: The account is also inoperative, and RBI instructions effective 1 April 2024 do not allow minimum balance charges on inoperative accounts.]**

I request you to reverse these charges, bring the balance back to zero, and confirm in writing. I have attached my statement for reference.

Regards,

[Name] · [Registered mobile]

A SHORTCUT I USE NOW

Note the complaint or ticket number the bank sends back, and the date you sent the email. You will need both if you go to RBI.

If the bank ignores you, *go to RBI*

The RBI Integrated Ombudsman Scheme, 2026 (in force from 1 July 2026) handles exactly this kind of complaint. It is free and fully online.

8 The timeline, with an example

WHEN	EXAMPLE DATE	WHAT HAPPENS
Day 0	2 Nov 2026	You email the bank. Save the complaint number.
Day 30	2 Dec 2026	No reply, a rejection, or a reply you're not happy with? You can now go to RBI.
Within 90 days after that	by 2 Mar 2027	File at the Ombudsman. Don't wait till the last week.

The 90 days run from the end of the bank's 30 days or from the bank's last reply, whichever is later.

9 Filing on cms.rbi.org.in

- 1 **Open cms.rbi.org.in** and choose "File a Complaint". Verify your mobile number with an OTP.
- 2 **Pick your bank** and the complaint category closest to wrong or excess charges.
- 3 **Fill in the facts:** account number, the negative amount, the date you wrote to the bank and their reply, if any.
- 4 **Upload** your email to the bank, the bank's reply and your statement.
- 5 **Save the RBI complaint number** and track it on the same portal.

Prefer not to go online? Email it to crpc@rbi.org.in or post it to the Centralised Receipt and Processing Centre, Reserve Bank of India, Central Vista, Sector 17, Chandigarh 160017. Need help? Call RBI's toll-free **14448** (8 am to 10 pm, Monday to Saturday). You can't file a complaint over the phone, though.

If the Ombudsman rules in your favour, it can order the bank to fix the account and pay compensation, up to ₹30 lakh for actual loss and up to ₹3 lakh for your time, expenses and harassment.

Fewer accounts, *fewer surprises*

Fixing one minus balance is good. Making sure there is no next one is better.

10 Habits that help

- 1 **List every account you own.** Old salary accounts, college accounts, the one opened for a loan. Most minus balances live in forgotten ones.
- 2 **Close what you don't use.** Ask for zero charges first, then close it in writing and keep the closure letter.
- 3 **Check your bank's current rule.** SBI dropped minimum balance fines in March 2020, and Canara Bank, PNB, Bank of Baroda and Indian Bank did the same in 2025 for most savings accounts. Many private banks still charge. Check your bank's latest service charge page, because these rules change.
- 4 **Ask about a BSBD account.** A Basic Savings Bank Deposit account has no minimum balance by RBI rules. From 1 April 2026, banks must convert a regular savings account to BSBD within 7 days of a written request. You can hold only one BSBD account across all banks.
- 5 **Keep your mobile and email updated.** The bank has to warn you before fining. That warning is useless if it goes to an old number.
- 6 **Do one transaction a year** in accounts you want to keep, so they don't drift into inoperative status and need KYC to restart.

WHAT FINALLY SETTLED IT FOR ME

Every bank account you keep is a small promise to watch it. If you can't watch it, close it.

The glossary, *in plain words*

The terms that show up on bank statements, emails and the RBI portal.

MAB / AMB

MONTHLY / AVERAGE MONTHLY
BALANCE

The average balance the bank wants you to keep across the month, not on one day.

"Maasam full ah average ah ivlo irukkanum."

Inoperative account

DORMANT ACCOUNT

No transaction done by you for over two years.

"Rendu varusham touch pannaadha account."

Ombudsman

RBI COMPLAINT OFFICER

An RBI official who settles disputes between you and the bank, free of cost.

"Bank ku mela RBI la oru judge maadhiri."

Grievance officer

BANK COMPLAINT HEAD

The person at the bank responsible for complaints. Escalate to them if customer care stalls.

"Bank la complaint paakura main aal."

Penal charges

FINES

The amount debited when you fall short of the minimum balance.

"Balance kammiya irundha podra fine."

BSBD account

BASIC SAVINGS BANK DEPOSIT

A basic savings account with no minimum balance and a set of free services. One per person.

"Zero balance account, fine kidaiyaadhu."

CMS

COMPLAINT MANAGEMENT SYSTEM

RBI's online portal at cms.rbi.org.in for filing and tracking complaints.

"RBI la complaint podra website."

KYC

KNOW YOUR CUSTOMER

ID and address proof the bank needs to open or reactivate an account.

"Nee yaarunu prove panra documents."

Negative balance

MINUS BALANCE

When the statement shows you owe the bank money in a savings account.

"Account la minus la kaatum."

RBI Directions

OFFICIAL RULEBOOK

Rules RBI issues to banks. Since November 2025, old circulars are grouped into Master Directions.

"RBI banks ku kudukkura order."

RB-IOS

RBI INTEGRATED OMBUDSMAN
SCHEME

The rulebook for RBI complaints. The 2026 version applies to complaints filed from 1 July 2026.

"Complaint process oda rulebook."

Reversal

REFUND OF A CHARGE

When the bank cancels a debit and puts the amount back.

"Edutha kaasa thirumba podradhu."

How the *numbers* were worked out

Every rule in this guide comes from RBI's own circulars, directions and FAQs, with news reports only for which banks dropped fines. Checked in October 2026.

1. **Minimum balance charges.** RBI circular RBI/2014-15/308, DBR.Dir.BC.No.47/13.03.00/2014-15, "Levy of penal charges on non-maintenance of minimum balances in savings bank accounts", 20 November 2014, effective 1 April 2015. RRB version: DBR.RRB.BC.No.55/03.05.33/2014-15, 22 December 2014. Consolidated on 28 November 2025 into the RBI (Commercial Banks – Responsible Business Conduct) Directions, 2025, RBI/DOR/2025-26/170, which carries over the same rule.
2. **Inoperative accounts.** RBI circular RBI/2023-24/105, DOR.SOG(LEG).REC/64/09.08.024/2023-24, 1 January 2024, effective 1 April 2024: no minimum balance penalty and no reactivation charge on inoperative accounts.
3. **Complaint process.** Reserve Bank – Integrated Ombudsman Scheme, 2026 (press release 16 January 2026, in force 1 July 2026) and RBI's official FAQ on it: 30 days for the bank, 90 days to approach the Ombudsman, no fee, compensation up to ₹30 lakh plus up to ₹3 lakh, contact centre 14448, crpc@rbi.org.in.
4. **Banks dropping fines.** Business Standard, 11 March 2020 (SBI) and 7 July 2025 (Canara Bank, PNB, Bank of Baroda, Indian Bank). BSBD changes: RBI amendment directions of 4 December 2025, effective 1 April 2026.
5. **Example on page 3.** Assumed ₹300 monthly fine plus 18% GST on bank charges (₹54) = ₹354 a month, multiplied by months unused. Calculated in a script. This is an illustration, not any specific bank's charge.
6. **Timeline on page 6.** Example start date 2 November 2026, plus 30 days, plus 90 days. Calculated in a script.

DISCLAIMER

This guide is for education only. It is not legal, tax or financial advice, and it does not recommend any specific bank or account. I am not a SEBI-registered investment adviser or a lawyer. The RBI rules only cover minimum balance charges and inoperative accounts; other debits like loan dues or cheque return charges follow different rules. Figures are examples and RBI rules and bank charges can change. Check the latest RBI notification and your bank's grievance policy before acting.

Got your minus balance reversed? *Tell me how long it took* in the comments.

Free to share. Made by Abinash at @buildwithabinash. Send this to a friend whose old account is quietly sitting in minus.